COURSE

Pearson Edexcel International Advanced Level in Business (XBS11 / YBS11)

Pricing strategies

Unit 1: Marketing and people · 1.3.3 Marketing mix and strategy: pricing strategies

Revision for Unit 1: Marketing and people: each firm works it out on its own deals.

Class	Topic
Pearson Edexcel International A level Business (IAL)	**Pricing strategies**

THE LESSON

Setup	2 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Mark-up to margin**	TASK 2 **Inelastic demand**

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 3 **Rank by elasticity**	TASK 4 **Price to hit margin**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 2 min

Firm decisions	**Deals**	TASK 5 **Cut the price?**	TASK 6 **Profit change**	**B2B deal**

Final questions	3 min

45-minute setting shown. The 30-minute setting has one topic task per round (Tasks 3, 5 and 6) and one B2B deal. 60 and 75 add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments	Buy property or funds. The value can rise or fall.
Operations	**Buying**	Hire the Procurement Specialist or the Stock Controller for the round.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Mark-up or margin?

Margin, as % of the price? Nearest whole %.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Full cost per car	**£10,000**
Your mark-up	**25%**

METHOD

Margin % = mark-up in £ ÷ (cost + mark-up) × 100

£2,500 ÷ £12,500 = 20.0%

Why: The same profit is a bigger share of the cost than of the price.

Task 2

ROUND 1

Demand for your cars is price inelastic.

Which two are most likely?

PICK TWO

- ○ A price cut raises revenue
- ✔ **A price rise raises revenue**
- ○ Revenue does not change
- ○ Sales fall by a bigger %
- ✔ **Sales fall by a smaller %**

Why: Inelastic: sales change by less than the price, so a rise raises revenue.

Task 3

ROUND 2

Three price rises and what happened to sales.

Order by elasticity, most elastic first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **Price up 5%, sales down 10%**
2. **Price up 20%, sales down 20%**
3. **Price up 10%, sales down 5%**

Why: PED = % change in sales ÷ % change in price: −2, −1, −0.5.

Task 4

ROUND 2

Price to hit your target.

Price with the 25% margin?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

You pay per car	**£12,260**
Prep per car	**£490**
Target margin on the price	**25%**

METHOD

Price = (you pay + prep) ÷ (100% – target margin)

(£12,260 + £490) ÷ 75% = £17,000

Why: A 25% margin is a 33% mark-up on cost.

Task 5

ROUND 3

Price elasticity for your cars is −0.4. Sales are falling.

Should you cut the price, and why?

PICK A OR B AND GIVE A REASON

- ✔ **No, keep the price**
- ○ Yes, cut the price

Why: At −0.4 a 10% cut adds only 4% sales, so revenue falls.

Task 6

ROUND 3

They buy 30 cars a month.

Change in monthly profit? Minus allowed.

WORK OUT THE NUMBER · EXAMPLE FIGURES

Price per car	**£8,000**
You pay per car	**£6,600**
Price cut	**10%**
Price elasticity of demand	**NaN el**

METHOD

Change = new sales × new profit per car − old sales × old profit per car

36 × £600 − 30 × £1,400 = −£20,400

Why: More cars sold did not make up for the lower price.

Final questions

6
questions for each pupil

129
Level 3 Business questions

1
of them on pricing strategies

The game draws the 1 question on this topic, and 5 more from the 129 Level 3 questions.

1 Urgent brake repair prices rise 5%, and the number of repairs barely changes. What does this show about demand?

Inelastic: customers needing it today have little choice.